

FY26 CFO Report - October 2025

This comprehensive financial analysis provides a detailed examination of cash flow projections and budget performance for Fiscal Year 2026. Comparing actual results through October with forecasted figures, this report reveals critical insights into revenue timing, expenditure patterns, and overall fiscal health. Our analysis identifies both favorable revenue variances and areas requiring attention in expense management, offering stakeholders a clear picture of financial performance against established benchmarks.

Revenue Performance Overview

\$58M

Projected Total Revenue

Total anticipated receipts for FY 2026

\$966K

Favorable Variance

Above October 2025 forecast

46.5%

Real Estate Collection

Primary revenue source performance

Revenue projections demonstrate strong performance across multiple categories, exceeding the October 2025 forecast by nearly one million dollars. This favorable variance reflects both timing adjustments and the **one time property tax reimbursement** from the county.

Key Revenue Drivers:

- Real Estate taxes: \$40.98M projected (46.48% collected)
- Unrestricted Grants-in-Aid: \$4.83M anticipated
- Property Tax Allocation: \$4.33M expected
- Personal Tangible taxes showing solid collection rates

Understanding the Revenue Variance



Timing Adjustment Impact

The most significant factor in our revenue variance stems from the timing of Homestead and Rollback payments. This year, these critical funds were received in September, whereas last year they arrived in October. This timing shift makes it appear we lost revenue, but it was just recorded in the prior month.



Broad-Based Growth

Beyond timing differences, we're seeing consistent incremental increases across nearly all revenue categories. These modest but widespread gains reflect strong tax collections (trending better than last year's 45%), and stable property valuations. Each category contributing small increases collectively creates substantial positive momentum.

The combination of favorable timing and broad-based growth positions the organization well for the remainder of the fiscal year. However, stakeholders should note that the timing variance is non-recurring, while the incremental increases represent sustainable improvements in the revenue base.

Expenditure Analysis and Trends

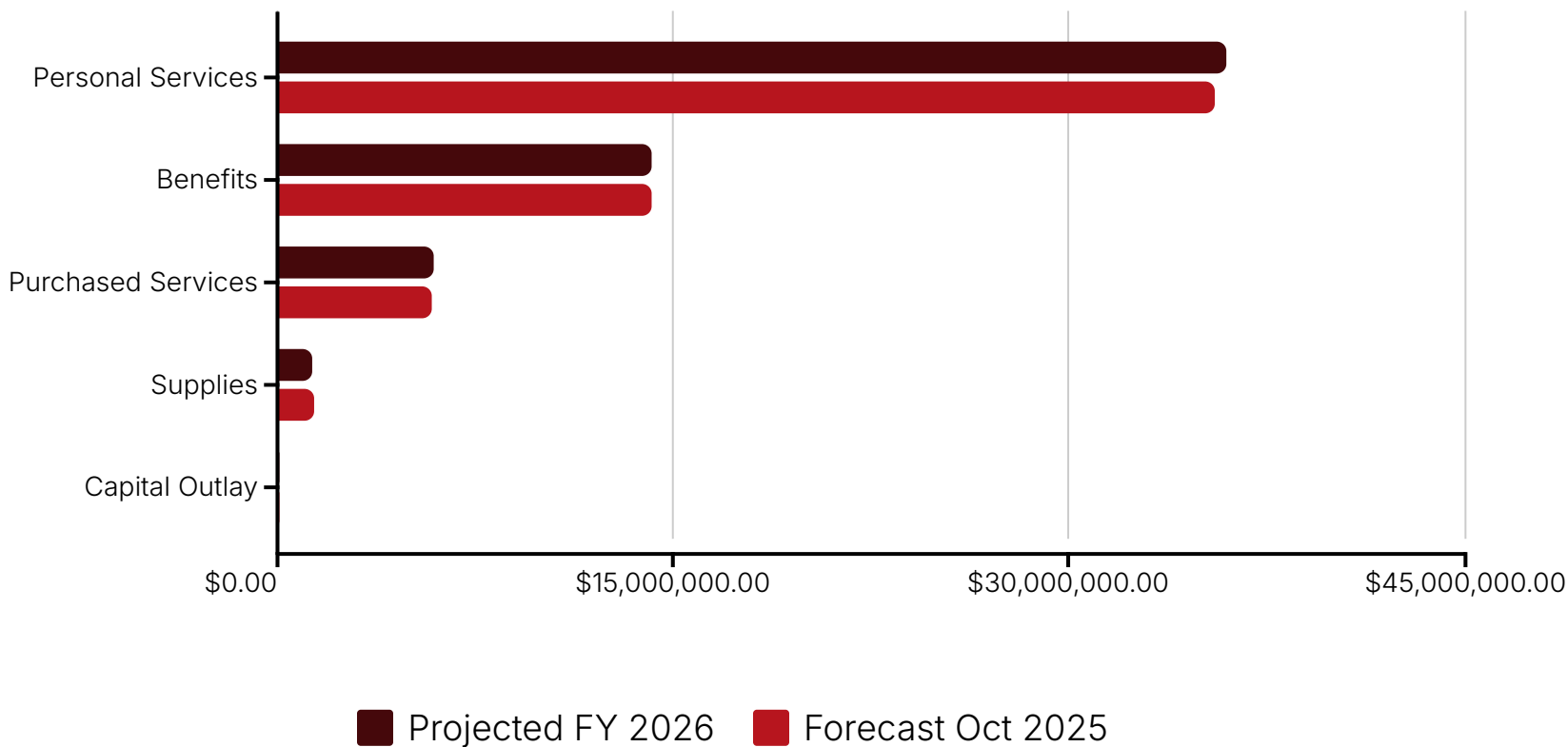
Personnel Cost Dynamics

Salaries and benefits combined showed a favorable \$300,000 decrease year-over-year, reflecting strategic workforce planning and benefit optimization. This represents approximately 0.6% savings in the largest expense category.

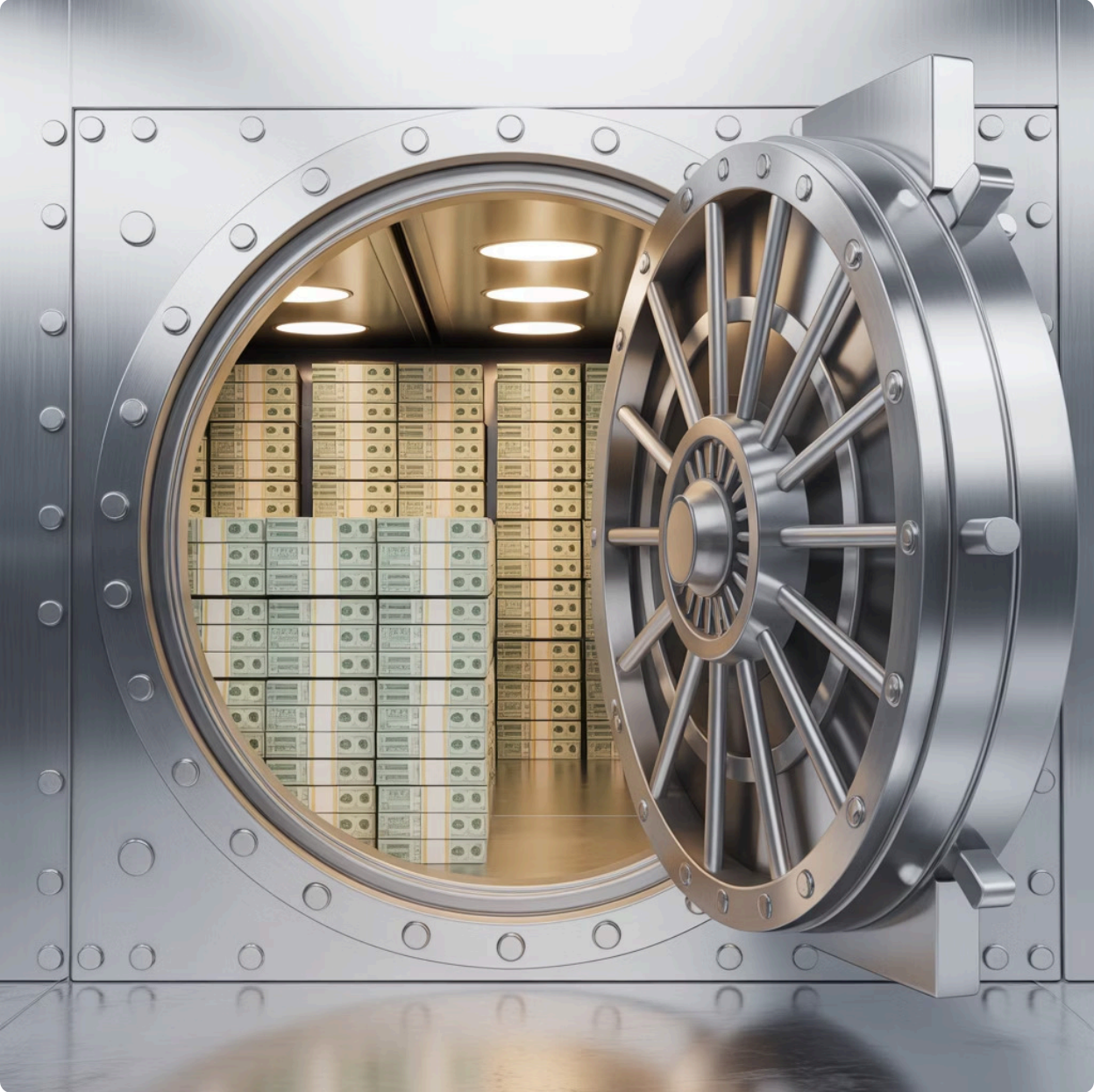
Operating Expense Pressures

Purchased services and supplies increased by a combined \$150,000, representing operational demands and inflationary pressures. These increases partially offset personnel savings, resulting in a net unfavorable variance of \$366,750 (so far this is all in the salaries category).

Total projected expenditures of \$58.18M exceed the October forecast by \$366,750, creating an unfavorable variance that requires monitoring throughout the remainder of the fiscal year. Management should focus on controlling discretionary spending in purchased services while maintaining essential operations.



Cash Position and Fiscal Outlook



Beginning Balance

July 1, 2025



Projected Ending

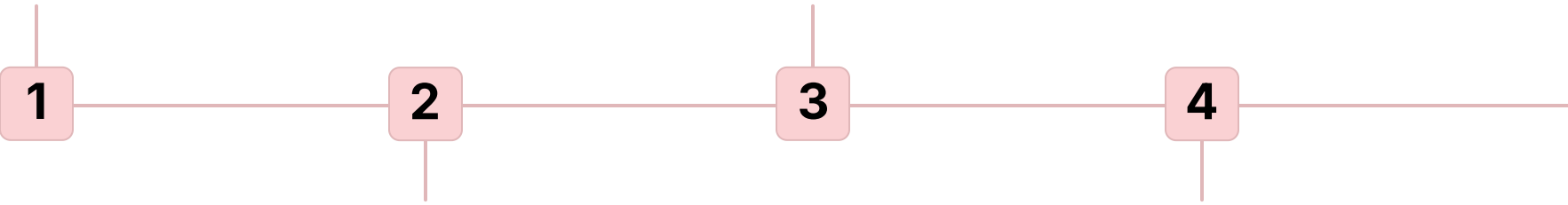
June 30, 2026

Current Position

Strong liquidity maintained throughout most months with strategic cash management

Spring Recovery

Tax collection periods restore cash position with substantial inflows in April-May



Mid-Year Challenges

Winter months show lowest balances due to timing of expenditures versus revenue receipts

Year-End Stability

Projected ending balance maintains fiscal health despite operational pressures

Net Cash Impact: The projected decrease to cash balance of \$157,171 represents less than 1% of total operations, demonstrating effective financial management. While revenues exceeded forecast favorably, expenditure overruns partially offset this gain. The organization maintains a stable cash position of \$19.07M projected for June 30, 2026, providing adequate reserves for operational needs and unexpected contingencies.

Overall, the fiscal outlook remains **sound but requires vigilant monitoring** of expenditure trends. The favorable revenue variance provides some cushion, but continued attention to expense control will be essential to maintain projected cash balances and ensure long-term fiscal sustainability.